

Fees

Less control over timing of recognition of gains

Less predictable income

No opportunity to customize

- Taxes - When a fund manager sells a security, a capital-gains tax is triggered. Investors who are concerned about the impact of taxes need to keep those concerns in mind when investing in mutual funds. Taxes can be mitigated by investing in tax-sensitive funds or by holding non-tax sensitive mutual fund in a tax-deferred account.

Types of mutual funds

It's important to understand that each mutual fund has different risks and rewards. In general, the higher the potential return, the higher the risk of